## Question #1 of 41

Question ID: 1674552

Suppose that an equity market has a degree of segmentation of zero, a standard deviation of 15%, and a 0.85 correlation with the global market. If the equity market has a risk premium of 6%, the Sharpe ratio of the global market is *closest* to:

**A)** 0.102.

**B)** 0.212.

**C)** 0.471.

---

## Question #2 of 41

Question ID: 1580637

Suppose that an equity market has a dividend yield of 3%, real earnings growth of 2%, inflation of 1%, and is experiencing a reduction in shares outstanding of 0.5%. The P/E ratio is expected to rise from 16 to 16.32. The repricing return is expected to be *closest* to:

**A)** 2%.

**B)** 4%.

**C)** 3%.

---

## Question #3 of 41

Question ID: 1551593

Josh Rykers is an analyst who uses the Grinold-Kroner model to forecast stock market returns. He estimates a 3.5% dividend yield, real earnings growth of 2.1%, long-term inflation of 1.9%, a 1.0% decrease in shares outstanding, and an expansion of the P/E multiple of 0.5%. Which of the following statements is *most accurate*?

**A)** The expected income return is 2.5%.

**B)** The expected nominal earnings growth is 0.2%.

**C)** The expected repricing return is 0.5%.

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## Question #4 of 41

Question ID: 1580628

A portfolio manager manages a $500 million bond portfolio. The portfolio has modified duration of 7.5 and a yield to maturity (YTM) of 6.2%. The manager's investment horizon is 7.5 years, and she expects bond yields to rise by an average 15 bps annually over the investment horizon. Relative to the initial YTM, the manager is *most likely* to realize:

**A)** the same YTM.

**B)** lower YTM.

**C)** higher YTM.

---

## Question #5 of 41

Question ID: 1618844

At the trough of the business cycle, analysts should recommend that portfolio managers:

**A)** increase medium-term bond exposure.

**B)** reduce equity exposure.

**C)** reduce bond durations.

---

## Question #6 of 41

Question ID: 1580649

The country of Stateland has an economy characterized by increasing prices, a trend that is expected to continue. Based on that statement alone, a manager who is considering investing in Stateland investments (on an unleveraged basis) would *least appropriately* invest in:

**A)** equities.

**B)** bonds.

**C)** real estate.

---

## Question #7 of 41

Question ID: 1580633

Which of the following statements regarding risk in emerging market economies is *least accurate*?

**A)** There are inadequate fiscal and monetary policies.

**B)** Their undiversified nature makes them susceptible to volatile capital flows and economic crises.

**C)** The economies are often heavily dependent on consumer durables.

---

Mimi Vasquez is the chief economist for FGN Consulting. She is responsible for determining capital market expectations for developed and emerging markets where FGN provides investment advice.

To determine capital market expectations for next year, Vasquez examines government policy in four markets: Arbutia, Catonia, Lansdonia, and Tagonia. Her initial analysis for each market is as follows:

1. Arbutia: Although the government has retained its AAA bond rating, the economy in Arbutia is in a recession. Further, due to a decline in the money supply and, in general, overly restrictive monetary and fiscal policies, the Arbutian economy is experiencing deflation. The current economic environment is expected to continue for the foreseeable future because the Arbutian government rejects traditional policy prescriptions.
2. Catonia: The central bank in Catonia follows the Taylor rule for setting monetary policy. Vasquez notices that their target nominal interest rate is higher than the neutral real interest rate plus expected inflation. Meanwhile, the government's fiscal policy in Catonia reflects a budget deficit, and the deficit has been increasing over time.
3. Lansdonia: The central bank in Lansdonia has been raising interest rates and is pursuing a restrictive monetary policy. The inflation rate last year was 5%. In the most recent two quarters, it was 4.6% and 4.4%, respectively. The economy appears to be entering a recession.
4. Tagonia: The economy in Tagonia has been very healthy. As a result, the P/E ratio for the market has increased and there has been a record number of shares issued. Due to the favorable prospects for growth, firms are reinvesting most of their cash flow so that stock repurchases and the dividend yield in Tagonia are minimal. Vasquez uses this information and the Grinold-Kroner model to determine the expected equity market return in Tagonia.

Based only on economic conditions in Arbutia, which of these Arbutian investments is *most likely* to perform the best?

**A)** Stocks.

**B)** Real estate.

**C)** Government bonds.

---

## Question #9 - 11 of 41

Question ID: 1674551

The yield curve in Catonia is *most likely*:

**A)** flat.

**B)** steep.

**C)** inverted.

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## Question #10 - 11 of 41

Question ID: 1562890

The Lansdonian economy is *most likely* experiencing:

**A)** deflation.

**B)** disinflation.

**C)** negative inflation.

---

## Question #11 - 11 of 41

Question ID: 1562891

Which of the following would reduce the expected equity market return when applying the Grinold-Kroner model to the Tagonian market?

**A)** Share issuance in Tagonia.

**B)** The repricing return in Tagonia.

**C)** Stock repurchases and the dividend yield in Tagonia.

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## Question #12 of 41

Question ID: 1580646

Which of the following statements about variance-covariance (VCV) matrices is *most accurate*?

**A)** Factor-based VCV matrices are superior to sample VCV matrices because factor-based VCV matrices are unbiased and consistent.

**B)** Using a shrinkage estimate by combining information in the sample VCV matrix and the factor-based VCV matrix will result in reduced estimation error.

**C)** Although factor-based VCV matrices are biased, on average, they will be a predictor of true returns.

---

Josie Baldi is a senior portfolio manager for Alzano Partners, a wealth management firm catering to young professionals.

Baldi notices that carry traders have recently invested large amounts of short-term capital in the country of Lombardo. She uses this information to determine capital market expectations and forecast currency values. Near term, she projects that Lombardo's central bank will try to counter the effects of these hot money flows into the domestic economy by buying government bonds, and that Lombardian firms will invest these funds in long-term projects to increase their valuations. Longer term, she projects the Lombardian currency to appreciate in value.

In January 2022, one of the clients of Alzano Partners inquires about increasing his allocation to high-quality corporate bonds in the United States to diversify his equity portfolio. Although U.S. interest rates had been stable over the past few years, the client expresses a desire to invest in liquid bonds if U.S. interest rates start to increase, in which case the client would reallocate from bonds to equities. Baldi examines the features of three bonds to assess their liquidity.

| | Bond A | Bond B | Bond C |
|---|---|---|---|
| Date issued | January 2021 | May 2020 | December 2021 |
| Size of issue | $550 million | $250 million | $1,100 million |
| Bond features | Callable | Option free | Option free |

Baldi next examines the U.S. real estate market to determine its attractiveness for one of the clients of Alzano Partners, Joseph Groh. Generally, Baldi uses a long-term expected return for real estate investments. However, Groh has a five-year investment horizon due to liquidity constraints. Knowing that expected returns fluctuate in the short term, Baldi adjusts

her formulation and calculates a five-year expected return for a real estate investment as a function of three variables: the cap rate, net operating income growth, and the change in the cap rate.

Baldi later discusses the investment characteristics of real estate with her assistant, Francisco DeLeon, including the risk premium for and the diversification provided by real estate investments. Baldi makes the following statements in a conversation with DeLeon:

| | |
|---|---|
| Statement 1: | Real estate assets have bond-like and equity-like risk premiums to compensate for their higher risk, including a term premium, a credit premium, and an equity risk premium. Altogether, the combined risk premium for real estate is higher than that for corporate bonds, but lower than that for equities. A liquidity risk premium must also be considered, especially when investing in hard-to-sell direct real estate investments, such as private ownership interests in a shopping center. |
| Statement 2: | Over long time horizons, publicly traded REITs have a low correlation with private, direct real estate investments. Therefore, we should advise our clients who are seeking diversification from real estate to include both REITs and direct real estate investments in their portfolio. |

## Question #13 - 16 of 41

Question ID: 1562893

Which of Baldi's projections is consistent with the typical impacts of hot money flows?

**A)** Her projection for the Lombardian central bank policy.

**B)** Her projection for the investments by Lombardian firms.

**C)** Her projection for the value of the Lombardian currency.

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## Question #14 - 16 of 41

Question ID: 1562894

Which of the following U.S. bonds *most likely* has the highest liquidity?

**A)** Bond A.

**B)** Bond B.

**C)** Bond C.

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## Question #15 - 16 of 41

Question ID: 1591664

The five-year expected return for Groh's investment is *most likely* negatively related to:

**A)** vacancy rates.

**B)** changes in interest rates.

**C)** the availability of debt financing.

---

## Question #16 - 16 of 41

Question ID: 1562896

Which of the following statements by Baldi is *most accurate*?

**A)** Statement 1 only.

**B)** Statement 2 only.

**C)** Both Statement 1 and Statement 2.

---

## Question #17 of 41

Question ID: 1580643

Joshua Petersen is a real estate analyst who wants to make appropriate adjustments to a capitalization rate. He predicts that vacancy rates will increase and that the availability of credit will decrease. Based on these views, it is *most likely* that Petersen:

**A)** should decrease the capitalization rate.

**B)** should increase the capitalization rate.

**C)** may need to either increase or decrease the capitalization rate because the two predictions have offsetting effects.

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## Question #18 of 41

Question ID: 1580631

Landestan is an emerging market economy with a debt-to-GDP ratio of 85% and a foreign exchange reserves-to-short-term-debt ratio of 95%. A bond investor looking to invest in Landestandi bonds would *most likely* conclude that these ratios:

**A)** are contradictory indicators of credit risk.

**B)** indicate low credit risk.

**C)** indicate high credit risk.

---

## Question #19 of 41

Question ID: 1580641

John Dodson manages a portfolio of real estate assets. He notes that capitalization (cap) rates are positively related to both vacancy rates and the availability of debt financing. Dodson's statements are *most likely* to be accurate with respect to:

**A)** both vacancy rates and the availability of debt financing.

**B)** the availability of debt financing only.

**C)** vacancy rates only.

---

## Question #20 of 41

Question ID: 1551615

Which of the following *best* describes an advantage of using factor-based variance/covariance matrices versus sample variance/covariance matrices in estimating volatility? A factor-based variance/covariance matrix:

**A)** requires fewer observations.

**B)** is unbiased.

**C)** is consistent.

---

## Question #21 of 41

Question ID: 1580638

Consider the following data for emerging Country A:

| | Expected Standard Deviation | Correlation With Global Investable Market |
|---|---|---|
| Country A bonds | 8% | 0.38 |
| Country A equities | 12% | 0.65 |
| Market Sharpe ratio = 0.40 | | |

The amount by which Country A's equity risk premium will exceed its debt risk premium is *closest* to:

**A)** 1.9%.

**B)** 3.4%.

**C)** 4.8%.

---

## Question #22 of 41

Question ID: 1580629

An investor purchases a coupon-paying bond where the term of the bond is equal to his investment horizon. If interest rates rise over that period, it is *most likely* that the realized return will be:

**A)** equal to expected return.

**B)** greater than expected return.

**C)** less than expected return.

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## Question #23 of 41

Question ID: 1580647

An analyst at an investment firm uses a sample variance-covariance (VCV) matrix in the firm's asset allocation process. The analyst determines that the matrix will need 12 asset classes and has obtained weekly sample return data over the last three years. Which of the following statements about the analyst's approach is *most accurate*?

**A)** The analyst can use the sample VCV matrix, but it will be subject to large sample errors.

**B)** The analyst cannot use the sample VCV matrix.

**C)** The analyst can use the sample VCV matrix, and it will not be subject to large sample errors.

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## Question #24 of 41

Question ID: 1580636

Trish Plano is an analyst who uses the Grinold-Kroner model to forecast stock market returns. In one particular analysis, Plano estimates a 3.5% dividend yield, real earnings growth of 2.0%, long-term inflation of 2.0%, no increase in shares outstanding, and a 1.1% expansion of the P/E multiple. The implied return on the stock market given these assumptions should be *closest* to:

**A)** 8.6%.

**B)** 8.2%.

**C)** 4.6%.

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## Question #25 of 41

Question ID: 1580645

While making use of the capital mobility approach to exchange rate forecasting, an analyst finds that there are no premiums for term, credit, equity, or liquidity, but she still finds the formula useful. The analyst is essentially using which of the following concepts if she uses the formula?

**A)** Portfolio balance and composition.

**B)** Purchasing power parity.

**C)** Uncovered interest rate parity.

---

## Question #26 of 41

Question ID: 1580639

Which of the following statements about investing in emerging market securities is *least accurate*?

**A)** When calculating the risk premium under full segmentation, the Singer-Terhaar model uses the local market as the reference instead of the global market.

**B)** In segmented markets, two assets with the same risk can have different expected returns.

**C)** Although the Singer-Terhaar model does not adjust the CAPM for emerging market segmentation, it is a useful model because it adjusts for other market imperfections.

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## Question #27 of 41

Question ID: 1580635

Which of the following is not indicative of low risk in an emerging market economy?

**A)** Foreign exchange reserves that are twice that of the short-term debt.

**B)** A current account deficit that is 2% of GDP.

**C)** A foreign debt level that is 75% of GDP.

---

## Question #28 of 41

Question ID: 1580644

An institutional investor forecasts that Portuguese inflation will be a cumulative 9.7% over the next four years, while Canadian inflation will total 6.8% over the same period. Global bond yields have begun to fall and will continue to do so for some time, while stock prices are expected to be flat. Which country and asset class should the investor favor?

**A)** Portuguese stocks.

**B)** Canadian stocks.

**C)** Canadian bonds.

---

## Question #29 of 41

Question ID: 1551608

Johnny Adams is a British currency trader who does not believe uncovered interest rate parity (UIP) holds in the markets, but believes that carry trades could lead to successful trade strategies. Which of the following strategies should Adams follow?

**A)** Lend in the high interest rate currency, and borrow in the low interest rate currency.

**B)** Borrow in the high interest rate currency, and lend in the low interest rate currency.

**C)** Lend in the high inflation currency, and borrow in the low inflation currency.

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## Question #30 of 41

Question ID: 1580632

Which of the following factors would *most likely* be considered a sign that an emerging market is more susceptible to risk?

**A)** Larger financial markets.

**B)** Many cyclical industries.

**C)** Dispersed wealth.

---

## Question #31 of 41

Question ID: 1580642

An analyst estimates the following statistics for properties in the commercial real estate sector:

- Current capitalization (cap) rate: 4.3%
- Next year's expected cap rate: 3.8%
- Net operating income (NOI) real growth rate: 1.2%
- Expected inflation: 0.9%

Based on the information provided, the expected return on the commercial real estate sector properties is *closest* to:

**A)** 18.0%.

**B)** −0.6%.

**C)** 5.9%.

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## Question #32 of 41

Question ID: 1580634

Considering the following table:

| Country | (Budget) Deficit/GDP | Current Account Deficit/GDP | Foreign Exchange Reserves/Short-Term Debt |
|---|---|---|---|
| D | 4% | 2% | 220% |
| F | 5% | 1% | 210% |

The country *most likely* be viewed as riskier would be:

**A)** Country D, because two economic indicators are worse.

**B)** Country F, due to its shortage of foreign exchange reserves.

**C)** Country F, due to its relatively large budget deficit.

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## Question #33 of 41

Question ID: 1580650

Christopher Lawe is an analyst examining data for a country he believes is experiencing significant economic changes over both the short term and long term. In the short term, the economy is at the trough of a cycle—and in the long term, he believes the country will experience increased integration with the world market. Based on Lawe's analysis, the country's equity market is *most likely* to experience:

**A)** higher-than-average returns in the short term and lower-than-average returns in the long term.

**B)** lower-than-average returns in the short term and long term.

**C)** higher-than-average returns in the short term and long term.

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## Question #34 of 41

Question ID: 1551594

Suppose that an equity market has a dividend yield of 3%, real earnings growth of 2%, inflation of 1%, and a 0.5% reduction in shares outstanding is anticipated. Furthermore, the P/E ratio is expected to rise from 16 to 16.32.

The return on the market that would be forecast by the Grinold-Kroner model would be *closest* to:

**A)** 7.5%.

**B)** 6.0%.

**C)** 8.5%.

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## Question #35 of 41

Question ID: 1551583

An analyst believes that the corporate profit-to-GDP ratio and business confidence provide important information about the term premium. These indicators are *best* categorized as:

**A)** Kim and Wright premiums.

**B)** cyclical proxies.

**C)** supply indicators.

---

Franklin Niendorf is an analyst for Beck Wealth Partners (BWP), a U.S. firm. BWP invests funds for individual and institutional clients. Being cognizant of home country bias, BWP evaluates both domestic and foreign markets to increase portfolio diversification and returns.

Niendorf is investigating the emerging market of Bellania that is transitioning to a developed market. Its per capita income is increasing, and its stock market and economy are rapidly developing. To spur economic growth, the Bellanian coalition government limits competition in its most promising industries. As a percentage of GDP, Bellania's foreign debt levels are 41%, and it has foreign exchange reserves equal to 81% of short-term debt.

Niendorf calculates the equity risk premium for the Bellanian equity market using the Singer-Terhaar model. The inputs are as follows.

| | **Bellania** |
|---|---|
| Volatility | 25.0% |
| Correlation with global market | 0.50 |
| Degree of integration | 0.60 |
| Sharpe ratio for global and segmented markets | 0.20 |

Niendorf is also examining the country of Harsha, an Asian emerging market, to determine whether one of BWP's largest clients should increase their asset allocation to Harsha. The client has expressed a desire for higher returns and diversification using a Harshan portfolio

of stocks and bonds. Niendorf believes that the Harshan economy will expand rapidly over the next year. Niendorf makes the following statements in his conversation with the client:

| | |
|---|---|
| Statement 1: | Historically, Harsha has had a current account surplus, exporting more than it imports. In the coming year, I forecast that, due to the economic expansion, consumer confidence will increase and Harsha will experience a large trade deficit as its citizens increase their demand for imported goods. In my analysis of foreign markets in general, cyclical trade deficits outweigh a country's historical record of surpluses and are negative for the market. |
| Statement 2: | In light of my forecast for the economy next year, I believe that the conditions for debt issues are very favorable. As a result, you should increase your allocation to Harshan bonds and target a long duration in your bond portfolio. |
| Statement 3: | Over the next few years, Harsha will become less segmented and more integrated with global markets. The required equity return for Harsha will decrease, and this development is positive for Harshan equity. |

Niendorf usually uses sample data to determine the risk and covariance of assets in a client's portfolio. Most recently, a client had a portfolio of 31 assets. Niendorf calculated the sample variance-covariance matrix using 10 years of monthly data. He has also calculated the variance-covariance matrix using a second method. In this method, he uses a five-factor model, with the covariances and correlations estimated from a few common factors.

## Question #36 - 39 of 41

Question ID: 1562898

Which of the following factors is *least likely* to suggest that Bellania is susceptible to risk?

**A)** Its government.

**B)** Its foreign debt levels.

**C)** Its foreign exchange reserves.

---

## Question #37 - 39 of 41

Question ID: 1674554

Which of the following is *closest* to the risk premium for the Bellanian equity market using the Singer-Terhaar model?

**A)** 2.50%.

**B)** 3.50%.

**C)** 5.00%.

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## Question #38 - 39 of 41

Question ID: 1562900

Which of the following statements by Niendorf is *most accurate*?

**A)** Statement 1.

**B)** Statement 2.

**C)** Statement 3.

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## Question #39 - 39 of 41

Question ID: 1562901

Regarding Niendorf's methods of calculating the variance-covariance matrix, which of the following is the *most likely* outcome?

**A)** The results from the first method will be reliable.

**B)** The results from the second method will be biased.

**C)** The results from the second method will be consistent.

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## Question #40 of 41

Question ID: 1580630

ABC is a bond fund engaging in active management. ABC has expertise in identifying improving credit conditions and, therefore, is willing to accept significant credit risk. If ABC seeks to increase the premiums earned by accepting credit risk, which of the following strategies will *most likely* be pursued by ABC?

**A)** Decreasing the maturities of credit-risky bonds.

**B)** Shifting from AA to AAA bonds.

**C)** Increasing the maturities of credit-risky bonds.

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## Question #41 of 41

Question ID: 1551620

During which phase of the business cycle would TIPS be *least* useful to a portfolio manager?

**A)** Slowdown.

**B)** Initial recovery.

**C)** Early expansion.